

CONTOSO GLOBAL - STANDARD CLAUSE LIBRARY

Enterprise-standard positions (CL-01 ... CL-12) - Owner: Office of the General Counsel

Enterprise-standard positions used to benchmark counterparty drafts. The **Clause & Risk agent** compares incoming clauses to these standards and flags deviations with a risk score. Fallback (negotiation) positions are in the Negotiation Playbook.

CL-01 - Payment Terms

Standard: Net 60 from receipt of undisputed invoice.

Acceptable range: Net 45 - Net 75.

Red flag: Net 30 or shorter (cash-flow impact); payment on signature.

CL-02 - Limitation of Liability

Standard: Cap equal to fees paid in the trailing 12 months; carve-outs for confidentiality, IP infringement, and indemnification.

Acceptable range: Cap of 12-24 months' fees.

Red flag: Uncapped liability; caps below 12 months' fees; no carve-outs.

CL-03 - Indemnification

Standard: Supplier indemnifies Contoso for third-party claims from negligence, willful misconduct, and IP infringement.

Acceptable range: Mutual indemnity that preserves IP-infringement coverage.

Red flag: Contoso-only indemnity; no IP infringement coverage.

CL-04 - Term & Auto-Renewal

Standard: 1-year initial term; auto-renews for 1-year terms; 90 days' non-renewal notice.

Acceptable range: Notice period of 30-90 days.

Red flag: Auto-renewal notice period > 90 days; multi-year lock-in without termination for convenience.

CL-05 - Governing Law

Standard: State of Washington, USA.

Acceptable range: Delaware, New York (US); England & Wales (EMEA deals).

Red flag: Non-US/UK jurisdiction without Legal approval.

CL-06 - Intellectual Property

Standard: Deliverables are works made for hire; ownership vests in Contoso on payment.

Acceptable range: License-back of Supplier pre-existing tools, provided Contoso owns custom deliverables.

Red flag: Supplier retains ownership of deliverables; revocable license only.

CL-07 - Data Protection

Standard: Processing per Contoso instructions + DPA; GDPR compliance where applicable.

Acceptable range: Sub-processing permitted with prior written notice.

Red flag: No DPA; sub-processing without notice; data stored outside approved regions.

CL-08 - Confidentiality Term

Standard: Obligations survive 3 years after disclosure.

Acceptable range: Survival of 2-5 years.

Red flag: Perpetual confidentiality; survival < 2 years.

CL-09 - Termination

Standard: Termination for material breach with 30-day cure; termination for convenience with 60 days' notice.

Acceptable range: Cure period of up to 45 days.

Red flag: No termination for convenience; cure period > 60 days.

CL-10 - Insurance

Standard: Commercial general liability $\geq$ USD 2,000,000.

Acceptable range: USD 1,000,000 - 2,000,000 with cyber coverage for data processors.

Red flag: Coverage below USD 1,000,000; no cyber coverage for data processors.

CL-11 - Assignment & Change of Control

Standard: Neither party assigns without the other's consent; Contoso may assign to an affiliate or successor.

Acceptable range: Consent not to be unreasonably withheld.

Red flag: One-sided assignment rights; free assignment on the counterparty's change of control.

CL-12 - Publicity & Use of Marks

Standard: Neither party uses the other's name or marks without prior written consent.

Acceptable range: Logo use limited to an approved customer list.

Red flag: Unrestricted publicity rights; press releases without approval.